

TCS

50.9%
ROE

60.2%
ROCE

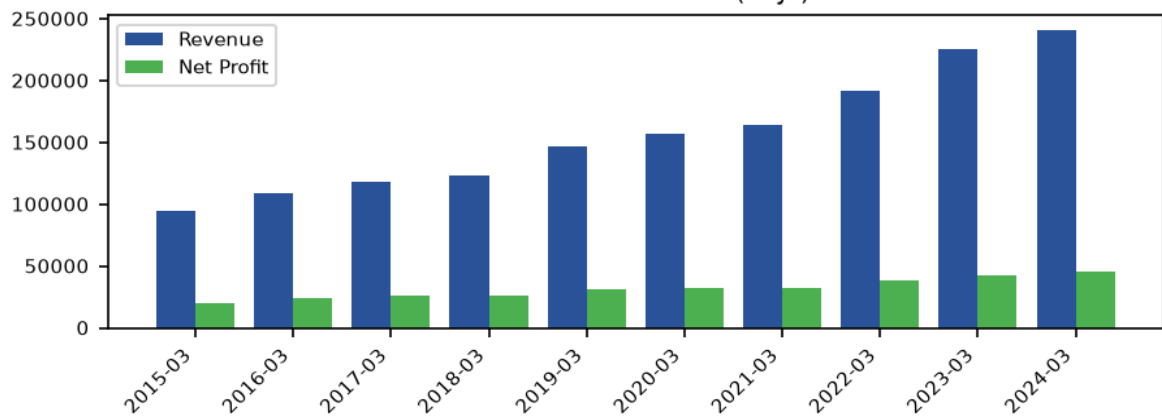
0.1x
D/E

10.5%
Revenue CAGR (5yr)

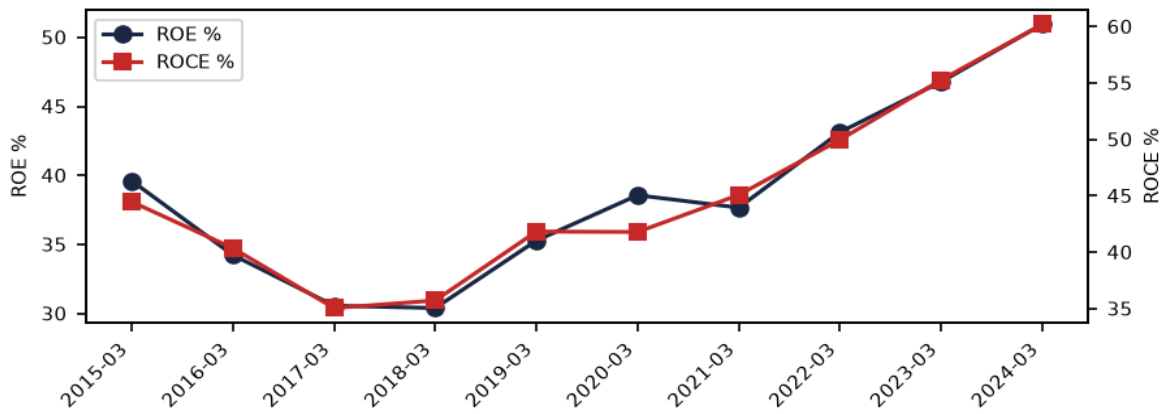
26.7%
OPM

19.1%
Net Profit Margin

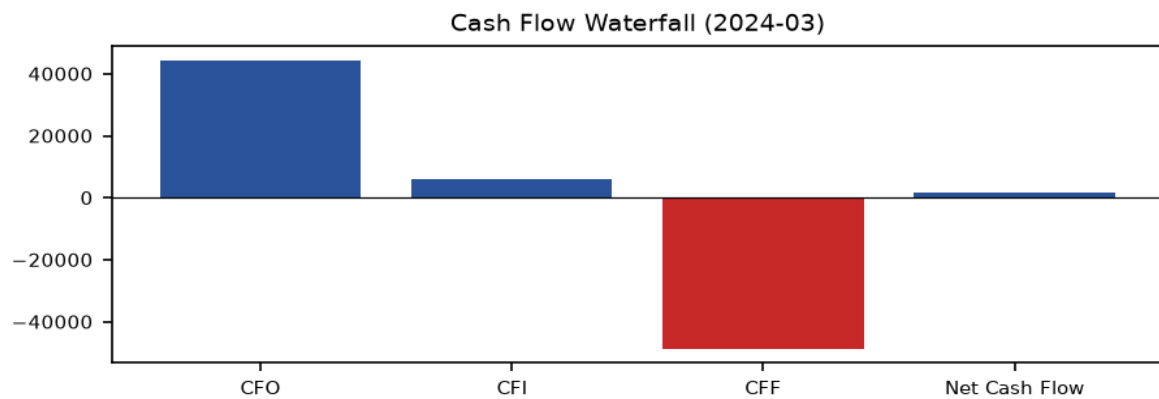
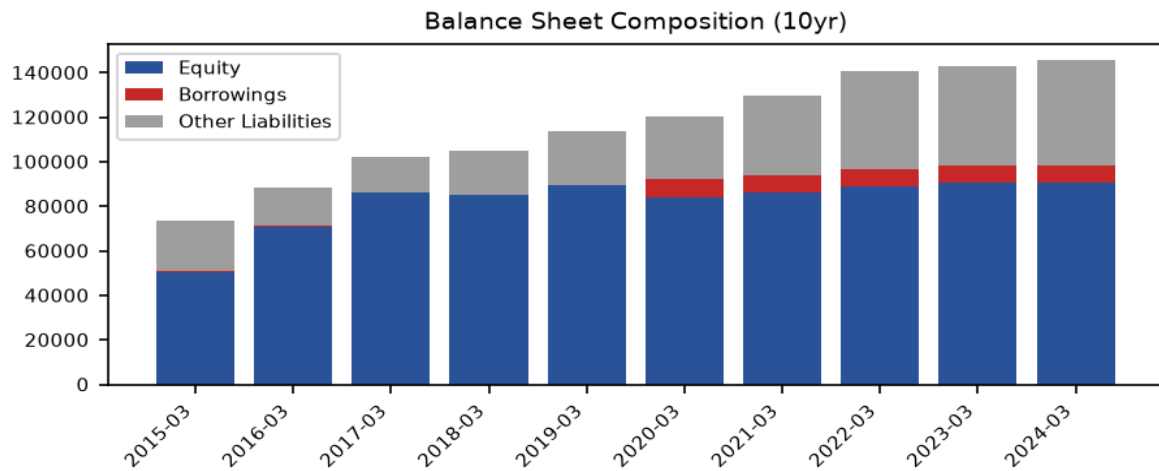
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



TCS



Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Stock trades at a premium to sector median P/E, reflecting high market expectations already priced in

Capital Allocation Pattern: Liquidating Assets